

Chapter 11: Accruals and Prepayments

Excel file for this chapter: [excel/Ch11_Accruals_Prepayments.xlsx](#). The worked examples below come from its orange tabs; questions 11.8 to 11.12 are self-marking on the blue tabs.

All amounts are in Malaysian Ringgit (RM). In the ledger accounts below, a line with no amount in this example is left out.

1. Learning goals

1. Explain the accruals (matching) concept.
2. Identify accrued expenses, prepaid expenses, accrued income and income received in advance.
3. Calculate the correct expense or income for the Statement of Profit or Loss.
4. Prepare ledger accounts with balances carried down.
5. Show accruals and prepayments in the Statement of Financial Position.

2. The big idea

The Statement of Profit or Loss shows income **earned** and expenses **used up** in the year. It does **not** show only what was paid or received in cash.

Accruals (matching) concept: match the income of a period with the expenses of the same period, whether or not cash has been paid or received.

So at the year end you adjust for anything paid **too little** or **too much**.

3. The four adjustments

Adjustment	What it means	Example	SPL effect	SFP heading
Accrued expense (expense owing)	Used this year, not yet paid	December electricity bill arrives in January	Add to expense	Current liability (other payables)
Prepaid expense (paid in advance)	Paid this year, for next year	Insurance paid for 12 months from 1 April	Subtract from expense	Current asset (other receivables)
Accrued income (income due)	Earned this year, not yet received	Tenant has not paid December rent	Add to income	Current asset (other receivables)
Income received in advance	Received this year, for next year	Tenant pays January rent in December	Subtract from income	Current liability (other payables)

Memory trick: if the business **owes** money it is a **liability**. If the business is **owed** something (money or a service) it is an **asset**.

4. The formulas

Expense for the year

Expense = Amount paid - Opening accrual + Opening prepayment + Closing accrual - Closing prepayment

Income for the year

Income = Amount received - Opening accrued income + Opening income in advance + Closing accrued income - Closing income in advance

Most questions have only one or two of these figures. Put 0 for the rest.

How to write the ledger account in 4 steps

Follow the same 4 steps for every accrual and prepayment account.

Step	What to enter	Expense account (rent, insurance, wages)	Income account (rent received, commission)
Step 1: Start of year (Balance b/d)	Last year's closing balance, dated the first day of the year	Owing: credit side. Prepaid: debit side	Due: debit side. In advance: credit side
Step 2: Bank	Cash paid or received during the year	Debit side	Credit side
Step 3: Profit or Loss	This year's expense or income, worked out with the formula	Credit side	Debit side
Step 4: End of year (Balance c/d)	This year's closing balance, dated the last day of the year	Owing: debit side. Prepaid: credit side	Due: credit side. In advance: debit side

After Step 4, total both sides. The totals must agree. Then bring the closing balance down on the **opposite** side, dated the first day of next year. That balance becomes Step 1 for next year.

Check: the Profit or Loss figure in Step 3 is the balancing figure. If the account does not balance, recheck Steps 1 and 4.

5. Accrued expense

Worked example 11.1

Rent is RM1,000 per month. The year ends 31 December 2025. During the year the business paid RM11,000. December rent is still owing.

Expense for year = $12 \times 1,000 = \text{RM12,000}$. Accrual = $12,000 - 11,000 = \text{RM1,000}$.

Dr Rent Account Cr

Date	Particulars	Folio	Amount	Date	Particulars	Folio	Amount
2025			RM	2025			RM
	Bank (paid during the year)	CB1	11,000	Dec 31	Profit or loss	GJ1	12,000
Dec 31	Balance c/d (owing)		1,000				
			12,000				12,000
				2026			
				Jan 1	Balance b/d (owing)		1,000

The **credit** balance brought down is a **liability**: the business owes RM1,000 rent.

6. Prepaid expense

Worked example 11.2

On 1 April 2025 the business paid RM3,600 insurance for 12 months. The year ends 31 December 2025.

- Monthly cost = $3,600 / 12 = 300$.
- Months used this year (April to December) = 9. Expense = $9 \times 300 = \text{RM2,700}$.
- Months for next year (January to March) = 3. Prepaid = $3 \times 300 = \text{RM900}$.

Dr Insurance Account Cr

Date	Particulars	Folio	Amount	Date	Particulars	Folio	Amount
2025			RM	2025			RM
	Bank (paid during the year)	CB1	3,600	Dec 31	Profit or loss	GJ1	2,700
				Dec 31	Balance c/d (prepaid)		900
			3,600				3,600
2026							
Jan 1	Balance b/d (prepaid)		900				

The **debit** balance brought down is an **asset**: the business has already paid for 3 months of cover.

Tip: unused stationery or fuel at the year end is treated the same way. Deduct it from the expense and show it as a current asset.

7. Opening and closing balances together

Worked example 11.3

Electricity: owing at the start of the year RM200. Paid during the year RM2,500. Owing at the end of the year RM300.

Expense = $2,500 - 200 + 300 = \text{RM2,600}$

Dr Electricity Account Cr

Date	Particulars	Folio	Amount	Date	Particulars	Folio	Amount
2025			RM	2025			RM
	Bank (paid during the year)	CB1	2,500	Jan 1	Balance b/d (owing)		200
Dec 31	Balance c/d (owing)		300	Dec 31	Profit or loss	GJ1	2,600
			2,800				2,800
				2026			
				Jan 1	Balance b/d (owing)		300

Why subtract the opening accrual? The RM200 belonged to **last** year's expense but was paid **this** year.

8. Income adjustments

Worked example 11.4: income received in advance

A business rents out a room for RM500 per month. During 2025 it received RM6,500, which includes January 2026 rent.

Income for 2025 = $12 \times 500 = \text{RM6,000}$. Received in advance = **RM500** (current liability).

Dr Rent Received Account Cr

Date	Particulars	Folio	Amount	Date	Particulars	Folio	Amount
2025			RM	2025			RM
Dec 31	Profit or loss	GJ1	6,000		Bank (received during the year)	CB1	6,500
Dec 31	Balance c/d (in advance)		500				
			6,500				6,500
				2026			
				Jan 1	Balance b/d (in advance)		500

Worked example 11.5: accrued income

Commission received during the year was RM1,800. A further RM200 is still due at the year end.

Income = $1,800 + 200 = \text{RM2,000}$. The RM200 is a current asset (other receivables).

9. In the financial statements

Statement of Profit or Loss (extract) for the year ended 31 December 2025

	Particulars	RM	RM	RM
Add:	Other income			
	Rent received (6,500 - 500)		6,000	
	Commission received (1,800 + 200)		2,000	8,000
Less:	Expenses			
	Rent (11,000 + 1,000)		12,000	
	Insurance (3,600 - 900)		2,700	
	Electricity (2,500 - 200 + 300)		2,600	(17,300)

Statement of Financial Position (extract) at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Current assets			
	Other receivables (900 insurance prepaid + 200 commission due)		1,100	
Less:	Current liabilities			
	Other payables (1,000 rent + 300 electricity + 500 rent received in advance)		1,800	

10. Effect on profit if you forget

Forgotten item	Effect on profit
Accrued expense	Profit overstated
Prepaid expense	Profit understated
Accrued income	Profit understated
Income received in advance	Profit overstated

11. Common mistakes

- Putting an accrued expense under current assets. It is a **liability**.
- Counting months wrongly. Write out the months if unsure.
- Using the cash paid figure in the SPL without adjusting.
- Placing the balance c/d on the wrong side. Accrued expense: c/d on the debit side, b/d on the credit side. Prepaid expense: c/d on the credit side, b/d on the debit side.

12. Quick summary

- SPL shows what belongs to the year, not what was paid.
- Accrued expense: add to expense, current liability.
- Prepaid expense: subtract from expense, current asset.
- Accrued income: add to income, current asset.

- Income in advance: subtract from income, current liability.

13. Check yourself

1. Wages paid RM24,000. Wages owing at the year end RM800. What is the wages expense?
2. Rates paid RM1,500 cover 15 months. Year end is after 12 months of the period. What is the prepayment?
3. Where does rent received in advance appear in the Statement of Financial Position?

Answers: see [model-questions/Answer_Key.md](#) , Chapter 11 section.